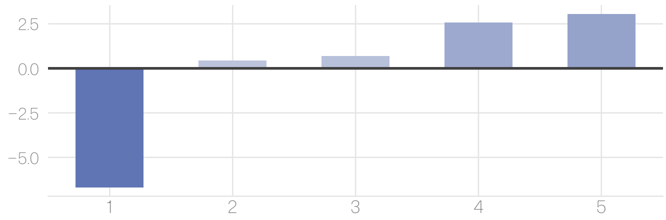
Relative Illiquidity

Captures the effect of assets with higher relative illiquidity tending to outperform.

MEAN FORWARD RETURN BY QUANTILE · 1D (BPS)



The factor capitalizes on the persistent effect of higher relative illiquidity tending to outperform among mid/large-cap digital assets. Relative illiquidity is the arithmetic mean of half a dozen relative liquidity ratios – including volume, open interest, order-book depth and spread – usually denominated by market capitalization and aggregated across the top ten most reputable exchanges.

The universe consists of the most liquid and actively traded assets, identified on a rolling basis and survivorship-bias free. Positions are scaled by the inverse of rolling volatility; the factor is available point-in-time with hourly updates.

EXAMPLE TOP 40 CROSS-SECTIONAL PORTFOLIO

Download Returns (CSV) →

Long and short the dynamic, rolling Top 40 universe (point-in-time), sized by the factor's cross-sectional strength. Rebalanced daily.

PERFORMANCE

Report Period Start Date Jan 2020 · End Date Jul 2026

Cumulative Returns

MTD	Last Month	1M	3M	YTD
−1.2%	−3.0%	−1.6%	−4.0%	−5.1%

Annualised Returns (CAGR)

1Y	3Y	5Y	SI
−8.4%	12.5%	11.2%	15.9%

RISK PROFILE

Realised Volatility (annualised)

1M	3M	1Y	3Y	5Y	SI
9.2%	11.2%	15.1%	13.9%	12.7%	14.6%

Max Drawdown

%	Date
−20.3%	2021-05-18

CUMULATIVE RETURN

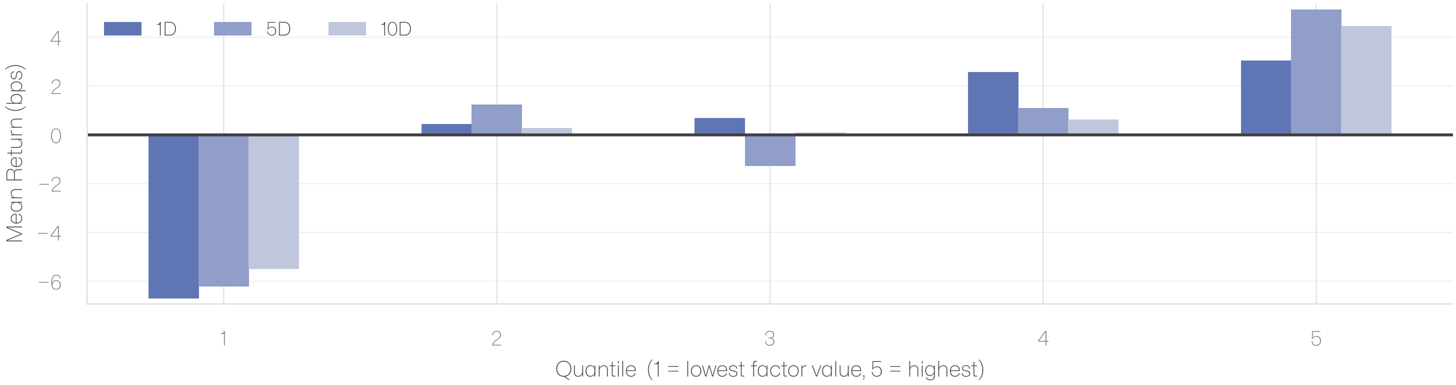
Note – Performance is for an illustrative single-factor portfolio (positions sized proportionally to the factor signal across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

Factor Analysis

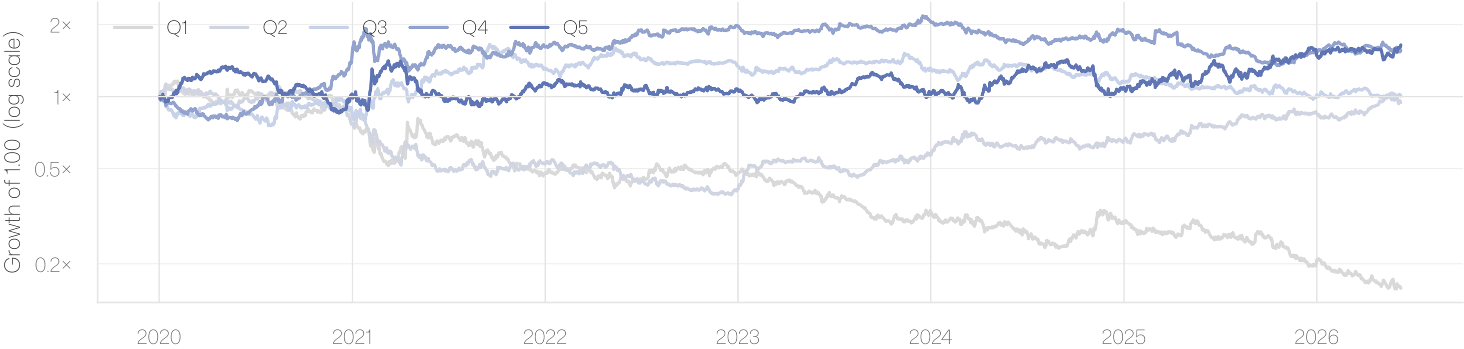
Download Factor Data (CSV) →

Diagnostics on the raw factor values, independent of portfolio construction: the quantile and IC plots show whether the signal cross-sectionally separates out- from under-performers, and how consistently. Computed point-in-time on the rolling Top 40 universe (the live factor spans many more tokens – see the raw factor-data CSV in the data room).

Mean Period Wise Return by Factor Quantile

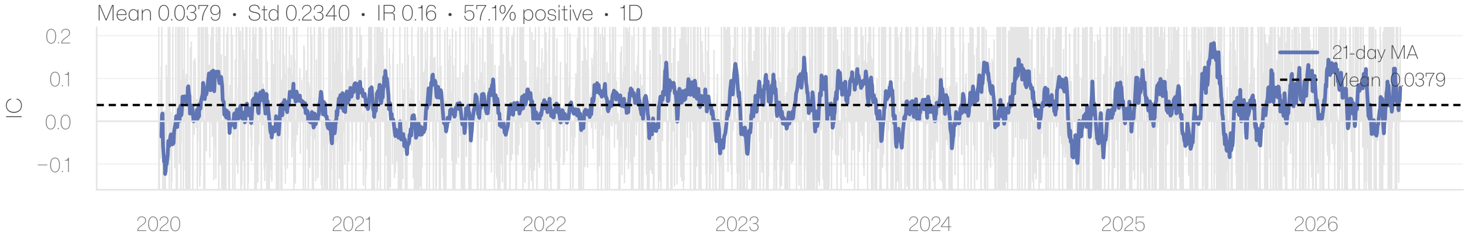


Cumulative Alpha by Quantile · demeaned, 1D



Information Coefficient (Spearman)

Mean 0.0379 · Std 0.2340 · IR 0.16 · 57.1% positive · 1D



ABOUT APERIODIC FACTORS

Aperiodic Factors publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – built for systematic research and backtesting. Full catalog, methodology and API at factors.aperiodic.io; see the materials below.

View this factor on factors.aperiodic.io →

Replication notebook – full AlphaLens analysis →

Have further questions? Book a call with our team – factors.aperiodic.io/booking